

EXAMPLE

A pharmaceutical company's patents hold a lot of value for the company and are something that the company relies on a lot. However, for a banking company, the software is not something that is a significant asset. The software is just a part of the company's operations.



*for a banking company, the software
is not something that gets its
competitive edge.*

Next, we must identify the identifiable and unidentifiable intangibles and calculate the fair value of identifiable intangibles.

Identifiable Intangibles are those that can be identified and singled out. These are assets whose values can be estimated and, if needed, can be sold out to another company. For example, patents of a company.



Intangibles that cannot be identified or quantified are unidentifiable. For example- The brand of a company. We cannot quantify the value of a brand in accounting terms.

Intangibles may have fair value that is significantly higher than the reported book value. This is particularly true for assets that provides competitive edge.

**Next, we must look for Intangible
not mentioned in the Balance
Sheet and how important they are
for the business.**